Canada now puts a legal clock on construction payments. The subcontractors waiting on that money still can't see it.

Theme. SMB working capital: money that is earned but not yet collected. **Recommendation.** Test a **prompt-payment cash desk for Canadian specialty trade contractors (10–99 staff), Ontario first.** It would calculate when each progress invoice and holdback is *legally* due, show which receivable protects the next payroll, and then finance invoices the law has already made payable. Ontario alone caps out as a small business. Venture scale depends on reaching other provinces, localizing for the U.S., and earning early-payment revenue.

Validation status: desk research only. No customer interviews, pilots or LOIs yet. The market figures below are my scenario model, not published forecasts. A 4-week go/no-go test is on page 2. **Clickable prototype (synthetic data):** abdullahmanini.github.io/proper-venture-concept

HOW I GOT HERE: NARROWING A CROWDED IDEA

I started with "AI-assisted short-term cash management for SMBs." I mapped 18 products and found no empty quadrant. QuickBooks Canada already predicts invoice payment dates, Chaser ranks cash-at-risk receivables, and Float and Dryrun run scenarios.[10] A horizontal "which invoice matters before payroll" tool is a feature these incumbents can ship. I therefore looked for a segment where cash timing is **structural, measurable and newly regulated**. Construction trades meet all three conditions.

PAIN POINTS

- **Last in the payment chain.** Payment flows owner → general contractor (GC) → trade → sub-trade, and each tier waits on the one above. Before Ontario's 2019 reform, 30-day terms routinely stretched to 60–120 days, which meant contractors were effectively financing the project.[3]
- **Weakest liquidity.** In Q3 2026, 70.7% of Canadian construction businesses had cash for the next 3 months. The figure was 75.8% for all businesses and 81.3% for professional services.[2] Many trades are healthy, so this is a timing problem, not a solvency crisis.
- **Holdback ties up cash.** 10% of each progress payment is withheld by statute.[6] For a trade billing C$6M a year, that can mean several hundred thousand dollars outstanding at once (illustrative). Ontario now requires annual release, which adds another legal date to track.[4,6]
- **Rights exist but go unused.** Ontario requires payment within 28 days of a proper invoice unless a notice of non-payment is issued within 14 days, and contracts cannot extend those timelines.[3] Yet only 269 adjudications began in FY2023[13], in a province with ~34,700 trade-contractor locations.[1] *Open question:* is low use caused by complexity, which a product could fix, or by fear of losing the GC relationship, which would kill the idea?
- **Payroll is the hard deadline.** Wages are due on fixed dates while receipts slip. 27% of Canadian SMEs reported payment delays in a 6-month window (2024).[14]

MARKET TIMING

Tailwinds

- **Ontario amendments, in force since Jan 1 2026.** An invoice is deemed proper unless disputed in writing within 7 days. Accrued holdback must be released annually. Parties can hire private adjudicators.[3,4] Each rule creates a computable date.
- **A national pattern is forming.** Alberta's regime is in force. BC's Act received assent in Nov 2025 but is *not yet in force*. Federal projects are covered.[6,7] Rules differ by province, and a US tool would have to learn each one.
- **Cheaper document reading.** Structured LLM output makes it practical to pull data from invoices and contracts. However, legal dates must come from a deterministic rules engine, not from a model's guess.

Headwinds

- **Real-Time Rail** launches in phases from Q4 2026, and the largest banks are reportedly not in the first wave.[8] Faster settlement also doesn't make a GC pay sooner.
- **Open banking:** the Consumer-Driven Banking Act passed in Mar 2026, but its regulations are still only *proposed* (Jun 2026).[9] No plan can assume production bank-data access.
- **Adoption risks:** construction cycle and rates, GC bargaining power, low software adoption, provincial fragmentation.

MARKET SIZE: BOTTOM-UP, TODAY AND 2040 (MY MODEL, CAD)

Trades, 10–99 staff	Buyers 2026	2026 pool, Base	2040 pool, Base (real)	2040 Low–High
Ontario (beachhead)	5,516	$2.0M	$7.2M	$0.6–44M
Canada	16,592	$6.0M	$21.7M	$1.8–132M
North America	**108,230**	**$39.4M**	**$141.6M**	**$14–813M**

Base North America, 2026: TAM C$390M (all buyers × C$3,600/yr) → SAM C$175M (× 45% fit) → C$35M software pool (× 20% paid adoption) + C$4M early-pay pool = C$39M. The 2040 Base figure is C$187M in nominal dollars.

- **Method:** buyers × fit × paid adoption × price, plus early-pay fees (users × billings financed × net take rate). Counts come from StatCan (Canadian locations, June 2026)[1] and US Census SUSB (US firms, 2022).[5] **All rates are labeled assumptions** and can be changed in the workbook.
- **What the numbers say.** Reaching C$1M ARR would take 278 Ontario customers, about 11% of modeled fit buyers. Canada alone (~C$6M pool) cannot support a venture. Scale requires US localization plus early-pay revenue, which is ~30% of the 2040 Base pool. For context, US trade contractors billed US$1.29T in 2022.[5]
- **Original wedge:** the horizontal project-services version yields a C$4.7M pool on the same method, about 8× smaller.

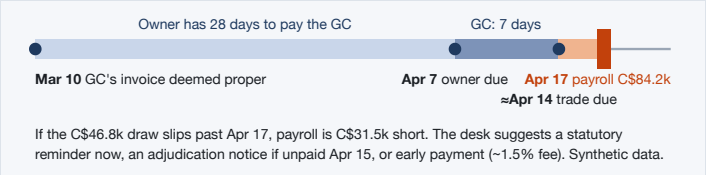
COMPETITION: VENTURE-BACKED AND INCUMBENT

Company	Backing (dated snapshot)	What it does	Gap for this wedge
Siteline (US)	US$18.4M incl. Series A led by Menlo, 2022[11]	Pay applications, compliance documents and AR tracking for trades	Built for US pay apps and retainage. No evidence of Canadian statutory-clock features. The closest product, so the most likely to copy.
Billd (US)	US$7.3M raise led by MissionOG, Nov 2025[12]	Materials financing and GC-built early-pay programs for subs	Sells financing without statutory leverage. Canadian availability not verified.
Earlytrade (US, Australian origin)	~US$25M total; 2026 round led by S3 Ventures and Brick & Mortar[15]	Early-payment marketplace for subcontractors, funded through GCs	Shows early pay alone is not a moat. Depends on GCs opting in.
Procore (Levelset), **Trimble Pay**, **Oracle Textura**, **GCPay**	Public companies / corporate; Procore bought Levelset (lien rights) in 2021	GC-run payment portals	Built around the GC's interests. A sub has to log into each GC's portal, and none gives a cross-GC view of cash.
QuickBooks, Xero, Float, Chaser; Plooto, Float Financial (Canada)	Incumbents; Plooto US$20M Series B (2022); Float Financial C$70M Series B (2025)[10]	Forecasts, collections, payments, spend	Horizontal tools with no construction legal dates or holdback tracking. Strong substitutes for sub-scale trades.
ConTracs, GetMarkup (Ontario)	Unknown	Invoicing for Ontario trades that is aware of prompt-payment rules	Confirms local demand *and* is a direct threat. Maturity not assessed.

Honest read: I found no product that combines Canadian statutory due dates, holdback tracking and a payroll-level decision for subcontractors. The gap is narrow, though. Siteline or Procore could add it. Defensibility would have to come from depth in Canadian rules, distribution through trade associations and bookkeepers, and payment data that improves early-pay underwriting. All three are unproven.

INTERESTING VENTURE ANGLES

★ 1. Prompt-payment cash desk → early pay (recommended). The core interaction, with synthetic data (try it):



2. Holdback release and financing. Ontario's annual release turns holdback into dated, predictable receivables that a lender could finance.

3. Fallback: GC-side compliance. GCs also face the 28-day and payment-cascade obligations. If subs won't pay for the tool, GCs might.

4. Rejected: horizontal payroll-gap invoice prioritizer. It's a feature, the segment is smaller (C$4.7M pool), and incumbents already cover it.

Model: SaaS (assumption C$3,600/yr), then a net take on early pay (assumption 0.75%) through a lending partner. The early-pay business brings credit risk, capital needs and regulatory review, so it comes only after the SaaS is used.

FIRST VALIDATION TEST (4 WEEKS, ~C$0 BUDGET)

- 20 interviews with owners or controllers of Ontario commercial and institutional trades (electrical, mechanical, drywall), sourced through trade associations and construction bookkeepers.
- A concierge "prompt-payment audit" for 5 firms: compute the legal due date for each invoice from 6 months of AR exports, done by hand in a spreadsheet. Offer it at C$500.
- **Go** if: ≥8 of 20 had an invoice paid more than 35 days after it became proper that forced a costly action (a credit-line draw, a late supplier payment, payroll stress); ≥3 pay for the audit or sign a C$300/month LOI; and the audits find ≥15% of receivable value past its legal date.

WHAT WOULD KILL OR NARROW IT

- Subs say they won't use statutory rights regardless of tooling because they fear GC retaliation. *Then pivot to angle 3 or stop.*
- GC portals already show legal due dates for most invoices by value.
- Data setup takes more than an hour per customer (messy QuickBooks Desktop or Sage exports), which breaks the unit economics.
- No lending partner will price early pay below ~2%. *Then stay a smaller SaaS business.*
- Bigger risks: GC concentration, a construction downturn, and a fast follower (Siteline or Procore).

SOURCES (ACCESSED SEP 30 – OCT 23 2026; FULL LEDGER AND MODEL IN THE COMPANION WORKBOOK)

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